FINANCIAL ACCOUNTING

ELEVENTH EDITION

Chapter 5

Completing the accounting cycle – closing and reversing entries

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Learning objectives

After studying this presentation you should be able to:

5.1 describe all the steps in the complete accounting cycle

5.2 explain why temporary ledger accounts need to be closed

5.3 explain how to record adjusting entries from the worksheet

5.4 describe the closing process, enter closing entries in accounting records and prepare a post-closing trial balance

Learning objectives

5.5 account for accrual items in subsequent periods using reversing entries

5.6 prepare the equity accounts for a partnership and for a company.

The complete accounting cycle

Steps in the cycle	Accounting records
1. Recognise and record transactions	Source documents
2. Journalise transactions	General journal
3. Post to ledger accounts	General ledger
4. Prepare unadjusted trial balance of general ledger	Trial balance (unadjusted)
5. Determine adjusting entries and/or journalise adjusting entries	General journal
6. Post adjusting entries to general ledger	General ledger (accounts adjusted)
7. Prepare adjusted trial balance of general ledger (adjusted)	Trial balance (adjusted)
8. Journalise closing entries	General journal
9. Post closing entries to general ledger, and balance accounts	General ledger (temporary accounts closed)
10. Prepare post-closing trial balance of general ledger	Trial balance (post-closing)
11. Prepare financial statements	Financial statements
12. Journalise reversing entries	General journal
13. Post reversing entries to general ledger	General ledger (some temporary accounts reopened)

Start of new period

The complete accounting cycle

- The accounting cycle, that sequence of events or steps which leads from source documents to the final production of the financial statements, is completed usually once a year.
- Steps 1 to 3 are carried out continuously during the year as transactions occur.
- Steps 4 to 13 are carried out only at the end of the accounting period (the financial year).

Closing temporary accounts

- The accounting cycle is referred to as the closing process, and journal entries made to close the temporary accounts are called closing entries.
- Income and expense accounts then begin the next accounting period with a zero balance.
- The Profit or Loss Summary account is established to summarise the balances in the income and expense accounts and to calculate profit (loss).

Using the worksheet to record adjusting entries

- A worksheet can gather together in the one place all the information needed to adjust account balances and prepare financial statements.
- Interim statements are prepared between the annual reports issued at year-end.
- All the information necessary to record closing entries in the general journal and post to ledger accounts is readily available.

Using the worksheet to record adjusting entries

- **Recording adjusting entries:**
  - From worksheet formal adjusting entries may be entered in the general journal.
  - Entries are dated the last day of the accounting period and generally the heading 'Adjusting entries' is written in the general journal to separate these entries from other transactions.
  - Data for determining the entity's closing entries for the period are found in statement of financial performance columns of the worksheet, which contain temporary income and expense accounts.

The closing process

- Involves:
  - Closing each income and expense account to the Profit or Loss Summary account.
    - The balance of this account (profit or loss) is then closed off to the Capital account.
- Any drawings made by the owner during the year are reflected in the Drawings account.
  - Also closed off to the Capital account.

The closing process

- The closing of all temporary accounts is done by making compound general journal entries, and then posting to the relevant accounts.
- Closing entries are not shown on a worksheet.
  - But the information necessary to make the general journal entries is available from the worksheet.

The closing process

- **Closing the income (including revenue) accounts:**
  - An income account normally contains a credit balance.
  - Hence, to close the account, it must be debited for an amount equal to its credit balance.
  - The offsetting credit is made to the Profit or Loss Summary account.
  - The compound journal entry needed to close the income accounts is as follows.

The closing process

- **Closing the income (including revenue) accounts:**
  - The compound journal entry needed to close the income accounts is as follows.

General journal				Page 4
Date	Particulars	Post ref	Debit	Credit
2022	**Closing entries**			
June 30	Management services revenue	400	19200	
	Appraisal fees revenue	401	500	
(1)	Marketing services revenue	402	800	
	Profit or loss summary	600		20500
	(Closing the income accounts)			

The closing process

- **Closing the expense accounts:**
  - Expense accounts normally have debit balances.
  - In order to close the expense accounts, each account is therefore credited for an amount equal to its balance, and the Profit or Loss Summary account is debited for the sum of the individual balances.

The closing process

- **Closing the expense accounts:**
  - The compound journal entry is entered on page 4 of the journal (underneath closing entry (1) shown earlier) as below.

June	30	Profit or Loss Summary	600	14 940	
		Salaries Expense	500		11 580
(2)		Telephone Expense	510		160
		Advertising Expense	520		240
		Insurance Expense	521		80
		Office Supplies Expense	530		160
		Depreciation Expense — Office Equipment	540		200
		Depreciation Expense — Building	541		500
		Interest Expense	560		1 600
		Electricity Expense	570		420
		(Closing the expense accounts)			

The closing process

- **Closing the Profit or Loss Summary account:**
  - After the first two closing entries are posted, the balances formerly reported in the individual income and expense accounts are summarised in the Profit or Loss Summary account.
  - The balance is transferred to the Capital account.

The closing process

- **Closing the Profit or Loss Summary account:**
  - Please see the example below.

June	30	Profit or Loss Summary	600	5 560	
		M. Mooney, Capital	300		5 560
(3)		(Closing the Profit or Loss Summary account)			

The closing process

- **Closing the Drawings account:**
  - The debit balance reflects the decrease in the owner's interest from the withdrawal of cash and/or other assets for personal use.
  - The Drawings account is not closed to the Profit or Loss Summary account because the withdrawal of assets by the owner is not an expense of doing business.
  - The balance in the account is transferred directly to the Capital account by the following entry.

The closing process

- **Closing the Drawings account:**
  - Please see the example below.

June	30	M. Mooney, Capital	300	1 200	
		M. Mooney, Drawings	310		1 200
(4)		(Closing the Drawings account)			

The closing process

- **Account balances after the closing process:**
  - All income accounts have nil balances.
  - All expense accounts have nil balances.
  - The drawings account has a nil balance.
  - The capital account has either been:
    - increased by the profit
    - decreased by the loss
    - decreased by the drawings.
  - The Capital balance is now updated.

The closing process

- **The post-closing trial balance:**
  - Prepared to verify the equality of debits and credits.
  - Confirm that the ledger is ‘in balance’.
  - These balances are also the starting point for the next accounting period.

Accrual entries in subsequent periods

- Adjusting entries must be made to recognise expenses that have been incurred but not yet paid for or recorded, and also revenues for services performed but not yet collected or recorded.
- Cash received or paid in subsequent periods for accruals must be analysed to correctly apportion the amount between the two periods.
  - For example, payment for salaries.

Accrual entries in subsequent periods

- **Example of the payment of salaries:**

July	6	Salaries Payable	210	3 980	
		Salaries Expense	500	3 420	
		Cash at Bank	100		7 400
		(Payment of salaries for the period 23 June to 6 July)			

Accrual entries in subsequent periods

- **Reversing entries:**
  - **Reversal of accrual entries:**
    - Alternative to previous treatment.
    - Dated the first day of the subsequent accounting period.
    - Exactly reverse certain adjusting entries.

Accrual entries in subsequent periods

- **Reversing entries:**
  - **Reversal of accrual entries:**
    - An accounting technique used to simplify the recording of regular transactions in the next period.
    - They are optional in an accounting system (however very useful).

Accrual entries in subsequent periods

- **Adjusting entry:**

June 30 (e)	Salaries Expense Salaries Payable (Unpaid salaries at the end of June)	500 210	3 980	3 980

- **Reversing entry:**

July 1	Salaries Payable Salaries Expense (Reversing the adjusting entry to accrue unpaid salaries at the end of the previous period)	210 500	3 980	3 980

Accrual entries in subsequent periods

- **Subsequent entry:**

July	6	Salaries Expense	500	7 400	
		Cash at Bank	100		7 400
		(Payment of salaries for the period 23 June to 6 July)			

Accrual entries in subsequent periods

- **Reversal of deferral entries:**
  - Adjusting entries are made for prepaid expenses and unearned or pre-collected revenue.
  - Some entities, on initial purchase of an asset, make a debit entry to an expense account.
  - The precollected revenue is recorded in a liability account.

Accounting procedures applicable to a partnership or a company

- A company is a business entity incorporated under the *Corporations Act 2001* throughout Australia.
- Accounting and reporting for partnerships and companies are similar in most respects to accounting and reporting for sole traders.

Accounting procedures applicable to a partnership or a company

- **Accounting for a partnership:**
  - Separate capital and drawings accounts for each partner.
  - Profit/loss at the end of the period is allocated to each partner in accordance with the partnership agreement.
  - Each drawings account is closed off to the partner's capital account.

Accounting procedures applicable to a partnership or a company

- **Accounting for a company:**
  - The equity section of a company balance sheet (statement of financial position) is separated into two main account categories:
    - Share capital, which represents the amount of assets invested in the company by the shareholders.
    - Retained earnings (or accumulated losses), which reflect the accumulated profits (or losses) earned by the company and retained in the business.

Accounting procedures applicable to a partnership or a company

- Note profits are distributed as dividends:

INTELLECT MANAGEMENT SERVICES LTD **Statement of changes in equity** for the year ended 31 December 2022	
Share capital, 1 January 2022	$240000
Share capital, 31 December 2022	240000
Retained earnings, 1 January 2022	–
Add: Profit for the year	50000
	50000
Less: Cash dividends for the year	24000
Retained earnings, 31 December 2022	$ 26000

Accounting procedures applicable to a partnership or a company

- Equity section of balance sheet:

Statement of financial position (extract) as at 31 December 2022	
Equity	
Share capital (240 000 shares issued for $1)	$240 000
Retained earnings	26 000
Total equity	$266 000

Summary

- All the steps in the complete accounting cycle.
- Why temporary ledger accounts need to be closed.
- How to record adjusting entries from a worksheet.
- The closing process, closing entries in accounting records and the postclosing trial balance.
- Accounting for accrual items in subsequent periods using reversing entries.
- The equity accounts for a partnership and for a company.

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